

Organizational Metamorphosis and the Hollowing Out of Governance Induced by External Funding Dependence

— A Structural Anatomy of Financial Structure and Audit Results in Kashiwa City —

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Abstract

This study defines local governments and social welfare corporations as "special management entities that survive through constant injection of external funds" and examines how this financial structure impacts organizational behavior and governance. In the private sector, excessive reliance on external funding is often a precursor to bankruptcy; however, in public organizations, this reliance is the norm. Consequently, as Kornai posits, "soft budget constraints" may be loosening organizational discipline. This paper utilizes the FY2024 (Reiwa 6) financial statements, personnel administration reports, and audit reports of Kashiwa City, Chiba Prefecture, as empirical data. The analysis reveals the mechanism by which a high ratio of dependent revenue sources triggers an "organizational metamorphosis," characterized by a dilution of the sense of ownership within the organization, the transformation of procedures into ends in themselves, and the bloating of administrative departments.

1. Introduction: Problem Statement and Research Perspective

1.1 Background: The Singularity of "Management Entities Without Bankruptcy"

From the perspective of organizational theory, the condition for an organization's survival lies in the "acquisition of resources from the environment." For private enterprises, these resources are primarily the consideration for value provided to customers (revenue), and a decline in profitability signifies exit from the market (bankruptcy). This "hard budget constraint" has functioned as a powerful incentive for innovation and efficiency.

In contrast, local governments and social welfare corporations rely heavily on "transfer revenues (external funds)" such as tax revenues, local allocation tax grants, and national treasury disbursements for their survival. For instance, according to Kashiwa City's *FY2024 Financial Settlement Report*, independent revenue sources (such as municipal taxes) account for only about 53.1% of the general account revenue, with the remaining nearly half consisting of dependent revenue sources such as national and prefectural disbursements and municipal bonds^[1].

Furthermore, looking at the expenditure structure, mandatory expenses centered on public assistance costs (welfare expenses) account for approximately 55% of the total^[2]. This creates a "tunnel-type" financial structure where massive cash flows pass through the organization while its discretionary freedom remains extremely limited.

How do organizations adapt and evolve (or devolve) in an environment where the necessity for autonomous revenue generation is weak and the ultimate penalty of "bankruptcy" is structurally absent? This question is one of the most critical issues in modern public administration.

1.2 Hypothesis of Organizational Metamorphosis: From Customer Orientation to "Funder" Orientation

According to Resource Dependence Theory, organizations respond most sensitively to the demands of the entities that control the resources necessary for survival. In local governments, these entities tend to be the "State, Prefecture, and Assembly (funders and approvers)" rather than the "Citizens (service beneficiaries)."

This dynamic can be hypothesized to bring about three specific metamorphoses in organizational behavior:

1. Prioritizing Process Infallibility over Outcomes:

To secure and maintain external funding, the "legitimacy of procedures (compliance)" in budget execution takes precedence over the "effectiveness (outcome)" of projects.

2. **Bloating of Management Costs:**

Human resources are disproportionately allocated to documentation and approval processes to fulfill accountability to funders, rather than to actual operations (citizen services).

3. **Hollowing Out of Governance:**

The deep-seated psychological perception that "this is not money we earned ourselves" leads to a lack of cost consciousness and a frequent occurrence of formal administrative errors, as often pointed out in audits.

1.3 Purpose and Structure of this Study

The purpose of this study is to empirically verify the aforementioned hypotheses regarding organizational metamorphosis by analyzing primary sources such as the *Report on Audit Results for FY2024* published by Kashiwa City.

Specifically, this study redefines incidents pointed out in audit reports—such as "contracts concluded without proper approval," "lack of propriety in public fund expenditures," and "delays in DX promotion"—not merely as human errors by staff, but as "organizational pathologies" generated by a financial structure dependent on external funding.

The subsequent chapters are organized as follows:

Chapter 2 integrates and analyzes Kashiwa City's financial and personnel data to clarify the reality of organizational resource allocation.

Chapter 3 examines the actual state of governance failure through case studies of audit reports.

Chapter 4 discusses the "hollowing out" of the organization through the structure of proposal methods and outsourced projects.

Chapters 5 and 6 integrate these analyses to provide conclusions and recommendations.

2. Transformation into a "Management-Centric Organization" Induced by the Divergence of Financial Structure and Human Resources

Chapter 2 integrates and analyzes Kashiwa City's financial and personnel data to verify how the management environment dependent on external funding distorts the internal structure of the organization and leads to a hollowing out of practical capabilities.

2.1 The "Tunneling" Fiscal Structure: The Burden of Mandatory Expenses and the Loss of Autonomy

In local government management, the degree of freedom in organizational decision-making is defined by the "capacity of general revenue sources." However, an analysis of Kashiwa City's *FY2024 Financial Settlement Report* reveals a reality in which the organization has turned into a "transit point (tunnel)" for massive funds.

The ratio of "mandatory expenses (personnel expenses, assistance expenses, and public debt expenses)" to total expenditure has reached 54.9%, remaining high from the previous fiscal year (55.4%)^[3]. In particular, assistance expenses (welfare expenses) account for approximately 48.1% of total expenditure, and much of this revenue comes from tied subsidies from the national and prefectural governments. This implies that the majority of the organization's activities are consumed by mechanical processing: "flowing funds from right to left based on systems decided by the State." Under such a financial environment, staff competencies are extremely optimized not for "unique value creation (innovation)" but for "conformity to systems (compliance)" and "accuracy of budget consumption." This is considered to be the breeding ground for the "formalistic errors" observed in the audit findings described later.

2.2 Distortion of Human Resources: High-Cost Regular Staff and Detachment from the Field

Next, we look at the composition of human resources supporting this rigid financial structure. According to the *Status of Personnel Administration Operations for FY2024*, Kashiwa City's Laspeyres Index (salary level relative to national civil servants set at 100) is "102.0," which is high compared to the national average and similar organizations^[4].

An organization harboring "high-cost regular staff" is inevitably forced to adopt the following two behavioral principles to suppress total personnel costs:

1. Strict Control of Staff Quotas and Casualization:

The structure involves suppressing the number of regular staff and filling the gaps with "Fiscal Year Appointed Staff" and "Re-appointed Staff." In fact, audit reports point out numerous administrative errors regarding commutation allowances and remuneration calculations for Fiscal Year Appointed Staff (Citizens' Life

Department, Environment Department, etc.)^[5]. This suggests that the layer responsible for increasingly complex field operations is placed in fluid and unstable employment forms, hindering the accumulation of operational knowledge.

2. Outsourcing of Practical Operations:

As seen in the proposal documents^[6], even core operations (interpersonal aid techniques) that the administration should essentially accumulate, such as the "Life Support Project for Needy Persons," are being outsourced externally.

2.3 Organizational "Top-Heaviness" and the Complication of Agency Problems

What is derived from the above financial and personnel analysis is a functional "fragmentation" of the organization.

- **Regular Staff (Principal Agents):**

Detached from field practices, they specialize in the "management and supervision" of contractors and fiscal year appointed staff, as well as "documentation." Although their salary levels are high, the added value they generate is consumed by "coordination costs."

- **The Field / Contractors (Agents):**

They interact directly with citizens and provide services, but they lack decision-making authority, making it difficult to accumulate organizational memory or know-how.

Thus, the more external funds enter, the more the organization's "management department" bloats, while the practical functions that serve as its hands and feet are carved out externally. This structure is the root cause of the governance failure pointed out in the audit reports, where "approval seals are stamped without grasping the reality of the field."

Regular staff become "managers who do not know the field," while practical staff become "the field without authority." This asymmetry of information paralyzes the organization's nervous system.

3. "Organizational Hollowing Out" and Governance Dysfunction Seen in Audit Results

Chapter 3 utilizes specific findings in the *Report on Audit Results for FY2024* as case studies to elucidate the reality of how the "Management-Centric Organization" discussed in the previous chapter leads to a loss of on-site governance capabilities.

3.1 The Ritualization of "Approval": The Hollowing Out of Decision-Making Processes

One of the most serious findings in the audit report is the series of cases listed under "Serious Violations of Laws and Regulations," where contract affairs proceeded without the approval of the authorized decision-maker.

In various departments, including the Asset Management Division, the DX Promotion Division, and the Public Relations Division, reports on the results of quote comparisons for outsourcing contracts exceeding 1 million yen were processed only with the approval of section chiefs, without being circulated to the proper decision-makers (department directors or the mayor)^[7].

It is particularly noteworthy that the **"DX Promotion Division"** is included in this list. The fact that the department responsible for leading the organization's digital transformation deviated from basic rules within an old-fashioned paper-based or hollowed-out electronic approval process is suggestive.

This vividly illustrates that the act of "approval (Kessai)" within the organization has hollowed out from a substantive venue for management judgment (decision-making on resource allocation) into a mere "rite of passage (rubber-stamping)." Once external funding (budget) is secured, the sense of tension in the execution process is lost, and "consuming the budget according to precedent" becomes an end in itself. This is a typical example of the "relaxation of discipline" under soft budget constraints.

3.2 Complex System Operation and the Limits of "Manual Management"

Next, we focus on cases of incorrect payments of remuneration and commuting allowances to Fiscal Year Appointed Staff, pointed out as "Items lacking propriety in public fund expenditures."

In departments with field operations, such as the Citizens' Life Department and the Environment Department, errors in measuring commuting distances and applying overtime pay rates were scattered^[8].

Behind this lies a dual structural problem:

1. **System Complexity:** In an effort to conform to National Personnel Authority recommendations and labor laws, salary systems and working conditions have become extremely complex.
2. **Analog Management Methods:** As the Audit Commissioners pointed out in their opinion, saying "there are natural limits to conventional analog attendance management,"^[9] DX is delayed, and the organization relies on manual checks.

In a private enterprise, areas such as payroll calculation would be systematized or shifted to shared services to reduce management costs. However, in Kashiwa City, regular staff are busy with this "complex administrative work that generates no added value." This is the reality of the "bloating of regular staff management costs" mentioned in Chapter 2, resulting in a depletion of resources that should be allocated to field command and the qualitative improvement of projects.

3.3 "Desensitization" to Audit Findings: Lack of Learning Capability

Even more serious is the fact that the Health Promotion Division was pointed out for "Neglecting efforts to improve upon previous warnings," specifically regarding the inappropriate processing of concluding contracts before the approval date, for two consecutive years^[10].

In a private enterprise, the recurrence of compliance violations leads directly to issues of management responsibility. However, in a local government organization without bankruptcy risk, audit findings are processed as "external noise," making it difficult to lead to fundamental Business Process Re-engineering (BPR) or transformation of organizational culture.

"Even if we make mistakes, the organization will not collapse, and salaries will not stop." This unconscious sense of security significantly lowers the organization's learning capability. The array of "administrative errors" in the audit report is not a matter of individual mistakes but proof that the organization as a whole has fallen into **"Management Metabolic Syndrome" (functional failure)** to the extent that it cannot maintain even the most basic capability of "accurate administrative execution."

4. Hollowing Out of Projects and the "Dual Dependency Structure": An Empirical Analysis of Outsourced Projects

Chapter 4 verifies how an organization dependent on external funding promotes the "abandonment of practice" and the "transformation of management into an end in itself" through a structural analysis of Kashiwa City's outsourced projects. Specifically, using the proposal guidelines for the Life Support Project for Needy Persons and the relationship with social welfare corporations (such as Seikatsu Club Kaze-no-Mura) that play a central role in community welfare, this chapter elucidates the mechanism of "co-dependency" woven between the administration and contractors.

4.1 Abandonment of "Core Competencies" Seen in Proposal Specifications

Analyzing the application guidelines for the *Life Support Project for Needy Persons regarding Employment Preparation, etc.* presented by Kashiwa City^[11], one can read a dramatic transformation in the role of the administration. This project is a domain requiring extremely high-level interpersonal aid techniques and public responsibility for the self-reliance support of needy persons. However, in the specifications, **almost all "value-generating core processes"**—such as assessment of subjects, creation of support plans, development of work experience destinations, and retention support—are entrusted to the contractor.

Consequently, the role of municipal staff has transformed from "practitioners" who provide support themselves to "contract managers" who check whether operations are being fulfilled according to specifications. This phenomenon corroborates the "specialization of regular staff in management" pointed out in Chapter 2. The administration has ceased to accumulate "support know-how" itself, and the hollowing out of organizational capability is progressing.

4.2 Conservatism and Rigidity Invited by "Track Record-Oriented" Selection Criteria

The dynamics to supplement this hollowing out and avoid failure also appear in the contractor selection criteria. Checking the evaluation criteria (Attachment 1) for this project^[12], "Implementation Structure (securing qualified personnel)" and "Track Record in other projects, etc." account for a high proportion of the points. Since the source of funds is external (taxes), this is a risk-averse behavior that extremely fears failure (non-fulfillment of contract or scandal). As a result, the outsourcing market is fixed to "existing operators with past records who are familiar with administrative protocols" (Lock-in Effect), and innovation is hindered. The administration is purchasing "legitimacy to avoid criticism" rather than the "most effective support."

4.3 Case Study: Dependency on Social Welfare Corporations and Information Reversal

What shows the results of this "hollowing out" and "track record orientation" more vividly is the relationship with social welfare corporations (such as Seikatsu Club Kaze-no-Mura) that bear the burden of community welfare. This trend is particularly notable in projects such as "Ai-Net" deployed in the Toyoshiki-dai area.

1. **Maximization of Information Asymmetry:**

While administrative staff are transferred every few years, the staff of the entrusted corporation commit to the region over the long term and accumulate tacit knowledge. As a result, a **"Reversal of Principal and Agent"** has become normalized, where the client (City) is overwhelmingly inferior to the contractor (Corporation) in the "resolution" of regional issues. The City has lost substantial evaluation and guidance capabilities, transforming into a mere patron (funder) that formally "approves" reports from them.

2. **Dual Soft Budget Constraint:**

What should be noted here is the structure established by both the entruster (City) and the trustee (Corporation) depending on "external funds." The City needs to consume grants from the State to create "project achievements," and the Corporation needs "outsourcing fees" for organizational maintenance. For both parties, **"the continuation of the project" itself becomes the greatest common interest**, inviting the preservation of inefficient processes and a decline in check functions due to collusion.

In conclusion, the easy outsourcing conducted by organizations dependent on external funding does not lead to a streamlined administration but rather invites a loss of governance capability (hollowing out), forming a strong "co-dependency sphere" with specific operators where discipline does not function.

5. Discussion: Mechanism of Organizational Metamorphosis Induced by External Funding Dependence

Chapter 5 integrates the analyses of finance, personnel, audits, and outsourced projects to discuss the theoretical mechanisms by which an organization lacking the selection pressure of "bankruptcy" due to reliance on external funding metamorphoses (adapts or deforms) its structure.

5.1 Over-adaptation to "Not Failing" and Institutional Isomorphism

The organizational behavior of Kashiwa City revealed in this study may appear "inefficient" by the logic of private management, but it is the result of an extremely "rational" choice in an environment where transfer revenues (external funds) form the basis of survival.

Employing the sociological concept of "Institutional Isomorphism," the formalism pointed out in audits and the precedence-following procedures even in the DX Promotion Division can be redefined as **"a sophisticated survival strategy to perform 'legitimacy' for funders (State/Prefecture) and approvers (Assembly) in order to continue acquiring external funds."**

For public organizations where proving health through market "results" is difficult, the only means to prove organizational soundness is "procedural infallibility." Therefore, the organization prioritizes documentary form (process) over the quality of essential citizen services (outcome), resulting in "over-adaptation to formalism."

5.2 "Dinosaurization" of the Organization and Paralysis of the Nervous System

The division between "regular staff without field experience" and "practitioners without authority (contractors/non-regular staff)" confirmed in Chapters 2 and 3 has created a serious **dual structure** within the organization.

As long as the injection of external funds continues, the budget scale and number of projects are maintained or expanded, and the organization continues to bloat. However, due to the structure of "co-dependency" discussed in Chapter 4, practical knowledge (feedback) from the field no longer reaches the center of the organization. This state can be called the **"Dinosaurization of the Organization,"** where the body grows massive while the sensory nerves fail to reach the extremities. The "missed approvals" and "overpayment of public funds" seen in the audit reports are not problems of individual quality but evidence that the giant organization's "neural transmission (governance)" is physically and structurally paralyzed.

5.3 The Risk Paradox: The True Reason DX Does Not Progress

Although infrastructure development on systems is proceeding as seen in the revision history of Kashiwa City's Information Security Policy^[13], the transformation of business flows (BPR) is lagging, as the Audit Commissioners pointed out regarding the limits of "analog management."^[9:1]

Here exists a **"Risk Paradox."**

- **Risk of Change:** Introducing new systems or methods leading to unexpected errors ("legal violations" or "overpayments") becomes a fatal deduction target in this organization.
- **Risk of Maintenance:** Continuing inefficient analog work and repeating small-scale administrative errors only results in a "warning" in audits and does not threaten

the organization's survival (funding injection).

For an organization without bankruptcy risk, the merit of attempting dramatic efficiency improvement (Hard DX) is small. Preserving the current inefficiency while allocating resources to the refinement of procedures works more advantageously for "organizational survival." The constant injection of external funds thus deprives the organization of the motive for self-purification and change.

5.4 Hollowing Out of the "Public" and Transfer of Social Costs

The co-dependency relationship with influential contractors like "Kaze-no-Mura (Ai-Net)" seen in Chapter 4 brings stability to administrative services in the short term, but it hollows out the capability of the "Public" in the long term.

The administration losing the "tactile sense of support" and transforming into a mere budget management agency (patron) means losing the ability to respond immediately to complex social issues. An organization maintained by "debts and other people's money" (external funds) ends up transferring the costs of its inefficiency and governance failure to future generations and the citizens who should essentially be saved.

6. Conclusion and Recommendations

6.1 Conclusion: "Organizational Metamorphosis" Induced by External Funding Dependence and Its Consequences

Based on public documents from Kashiwa City, Chiba Prefecture, this study analyzed the metamorphosis process of a local government defined as "an organization surviving through the constant injection of external funds." In conclusion, it revealed that organizations isolated from market competition and bankruptcy risk (hard budget constraints) exhibit three critical organizational pathologies.

First is the **"Externalization of Practical Capabilities and Bloating of Management Functions."** Kashiwa City's personnel and financial structure normalize a system where high-cost regular staff specialize in "management and supervision," while the core of support (core operations) is carved out to fiscal year appointed staff and social welfare corporations. This leads to the administration losing the reality of the field and causing a "hollowing out" where the accumulation of organizational knowledge ceases.

Second is the **"Transformation of Procedures into Ends in Themselves and the Ritualization of Governance."** The diverse range of approval errors and public fund expenditure mistakes pointed out in audit reports are not merely staff carelessness. They are manifestations of "Dinosaurization," where the massive internal procedures (red tape) created to prove the "legitimacy" of funding acquisition have self-multiplied beyond the organization's processing capacity, paralyzing the nervous system and rendering even basic compliance uncontrollable.

Third is the **"Loss of Discipline due to Co-dependency."** As both the administration and contractors rely on external funds (taxes/subsidies) for survival, the "continuation of the project" itself becomes a common objective. This creates a "lock-in" state where inefficient customs and precedence-following are preserved.

These are structural inevitabilities resulting from the organization's over-adaptation to its institutional environment, sustained by "other people's money" (external funds).

6.2 Recommendations: Rebuilding Disciplined Governance

To convert this "metamorphosis" into "evolution," it is necessary to incorporate "pseudo-market mechanisms" and "painful feedback loops" into the organization.

1. Drastic Expansion of Pay for Success (Outcome-Based Contracting):

In outsourced projects such as those with "Kaze-no-Mura," the payment model should shift from inputs (number of staff or hours) to outcomes (number of self-reliant individuals or reduction in social costs), similar to Social Impact Bonds (SIB). This redefines the relationship between the administration and operators from "co-dependency" to a "tension based on results."

2. Project-Based "Sunset Clauses" and Assignment of Pseudo-Bankruptcy Risk:

For projects with a high ratio of dependent revenue sources, a "Pseudo-Bankruptcy System" should be introduced, where the budget is automatically frozen if target outcomes are not achieved within a certain period. This forces a dynamic of "scrap-and-build" (restructuring) within the organization.

3. Thorough Automation of Internal Management (True DX):

"Management tasks that generate no added value," such as attendance, payroll, and contract affairs pointed out in audits, should be automated without sanctuary

using digital technologies like AI and cloud computing. It is urgent to return the role of regular staff from "gatekeepers of documentation" to "policy designers" and "field commanders" addressing complex social issues.

Local governments and social welfare corporations must not remain mere devices that consume external funds as "gasoline for survival." Facing the mechanism of organizational metamorphosis presented in this study and restoring autonomous governance is the only path to sustainable public management.

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